# L.B. Foster Company — acquisition review

| | | | |
|---|---|---|---|
| Target | L.B. Foster Company (NASDAQ: FSTR, CIK 0000352825) | Deal perspective | Buy side — US market entry by a Korean rail-infrastructure acquirer (scenario) |
| Data date | September 6, 2026 | Financial data basis | SEC XBRL company facts, FY2023–FY2025 (10-K) |
| Sources cited | SEC EDGAR · USAspending · EPO OPS · Google News (R-01–R-07) | Review status | Author-confirmed draft, pre-diligence |

## 0 SUMMARY VERDICT

### PROCEED WITH SAFEGUARDS

Scale: Proceed / Proceed with safeguards / Walk away — an execution-risk view, not a valuation or investment opinion

L.B. Foster is a Pittsburgh-based rail and infrastructure products company with flat revenue near $540M and a clear margin-recovery story: operating income moved from a $7.2M loss in FY2022 to $21.9M in FY2025 [R-02]. Two items argue for caution before a bid. Net income swings widely ($1.5M in FY2023, $42.9M in FY2024, $7.5M in FY2025), so the FY2024 figure almost certainly contains one-off effects that diligence must isolate [R-02]. And cash on hand is thin at $4.3M [R-02]. For a Korean acquirer this is a plausible entry platform into US rail infrastructure, contingent on verifying the one-offs and on funding structure. US foreign-investment review applicability should be assessed as part of deal preparation (existence noted; scope to be confirmed by counsel).

1 Operating margin recovered from −1.4% (FY2022) to 4.1% (FY2025) on flat revenue [R-02, derived]

2 Net income volatility — $1.5M / $42.9M / $7.5M across FY2023–25 — points to one-off items to verify [R-02]

3 Cash of $4.3M against $330M total assets; funding of any growth plan needs review [R-02]

4 No federal prime contracts found — revenue runs through railroads and state or transit buyers, outside the federal award database [R-04]

## 1 COMPANY PROFILE

| | | |
|---|---|---|
| Name / listing | L.B. Foster Company — NASDAQ: FSTR | R-01 |
| Headquarters | Pittsburgh, Pennsylvania; incorporated in Pennsylvania | R-01 |
| SEC classification | Wholesale — metals service centers and offices (SIC 5051) | R-01 |
| Fiscal year end | December 31 | R-01 |
| Subsidiaries | 15 entities per Exhibit 21 (FY2025 10-K) — US (Delaware, West Virginia, Ohio), UK (4 entities incl. Rail Technologies UK and TEW), Germany, Brazil, Canada, China, plus holding companies for India and Latin America | R-06 |
| Filing history | 1,000+ filings on EDGAR; regular 10-K/10-Q cadence, current through 2026 | R-03 |

## 2 FINANCIAL HIGHLIGHTS (CONSOLIDATED, US$ MILLIONS)

| ITEM ($M) | FY2023 | FY2024 | FY2025 | SOURCE |
|---|---|---|---|---|
| Revenue | 543.7 | 530.8 | 540.0 | R-02 |
| Gross profit | 112.8 | 118.1 | 113.8 | |
| Operating income | 10.1 | 20.5 | 21.9 | |
| Net income | 1.5 | 42.9 | 7.5 | |
| Total assets | 313.2 | 334.6 | 330.4 | |
| Stockholders' equity | 142.1 | 178.3 | 175.3 | |
| Current assets | 168.0 | 161.6 | 156.9 | R-02 |
| Current liabilities | 95.3 | 88.3 | 83.9 | R-02 |
| Goodwill | 32.6 | 31.9 | 33.1 | R-02 |
| Operating margin (derived) | 1.9% | 3.9% | 4.1% | derived |
| Current ratio (derived) | 1.76 | 1.83 | 1.87 | derived |

| ITEM ($M) | FY2023 | FY2024 | FY2025 | SOURCE |
|---|---|---|---|---|
| Cash and equivalents | 2.6 | 2.5 | 4.3 | R-02 |

**Reading (interpretation).** The top line is flat; the improvement is all in margin. Gross profit holds near 21% of revenue while operating income doubled from FY2023 — a cost and mix story rather than a growth story. The FY2024 net income of $42.9M sits far above operating income of $20.5M, which is arithmetically impossible without significant non-operating or tax items; identifying them is diligence item 1. Cash is thin in every year shown, but the current ratio sits at a healthy 1.87 and has improved for three straight years — the working capital lives in receivables and inventory rather than cash, a typical industrial profile. Goodwill of $33.1M (about a fifth of equity) carries impairment risk that diligence should test against segment performance.

## 3 FILING TIMELINE — RECENT EVENT SIGNALS

| DATE | FILING | ITEM CODES (STANDARD 8-K CATEGORIES) |
|---|---|---|
| 2026-08-10 | 8-K | 2.02 (results announcement), 9.01 |
| 2026-07-30 | 8-K | 5.02 (director or officer change), 7.01, 9.01 |
| 2026-05-22 | 8-K | 5.07 (shareholder vote results), 9.01 |
| 2026-05-21 | 8-K | 5.02 (director or officer change), 9.01 |

- **Seven director or officer change filings in 24 months** (Dec 2024 – Jul 2026, including two within ten weeks in mid-2026). An elevated cadence for a company this size — management continuity is a live question for any acquirer, and the underlying 8-Ks should be pulled in diligence. [R-03]

## 3B DEAL HISTORY AND OWNERSHIP EPISODES

| DATE | FILING | WHAT IT SIGNALS |
|---|---|---|
| 2022-08-12 | 8-K (Items 1.01, 2.01) | Completed acquisition or disposition, with a material agreement |
| 2022-02-01 | SC 13D | A 5%+ holder filed with intent (activist-style ownership filing) |
| 2021-09-27 | 8-K (Items 1.01, 2.01) | Completed acquisition or disposition |
| 2021-01-08 | SC 13D | A 5%+ holder filed with intent |
| 2015-12-24 / 2015-03-13 | SC 13D / 8-K (2.01) | Earlier ownership episode and completed transaction |

**Reading (interpretation).** The company is itself an acquirer — completed transactions in 2015, 2021 and 2022 — which explains the goodwill on the balance sheet and gives diligence a trail of purchase agreements to review. The two Schedule 13D filings in 2021–2022 mean concentrated holders took positions with stated intent; identifying who they are today, and their stance toward a sale, belongs at the top of the ownership workstream. [R-03]

### 3C INTELLECTUAL PROPERTY (PATENTS)

| MEASURE | VALUE | SOURCE |
|---|---|---|
| Published patent documents (worldwide) | 65 publications / 65 distinct families, 1970–2025 | R-07 |
| By jurisdiction | US 38 · Canada 14 · EPO 4 · Belgium 3 · Australia 2 · others 4 | |
| Recent filing pace | 2020: 5 · 2021: 2 · 2022: 2 · 2023–24: 0 · 2025: 1 | |
| Latest publication | US 2025/0237020 (Jul 2025) — high-resilient direct fixation rail fastener | |

**Reading (interpretation).** The portfolio maps onto the core rail business — track fasteners, insulated rail joints, friction-modifier applicators — and is concentrated in the US and Canada, matching where the company sells. Two things stand out for diligence. The filing pace has slowed to near zero since 2022, so the moat is existing patents plus know-how rather than a growing pipeline. And a publication trail reaching back to 1970 means part of the portfolio is already expired art; the follow-up question is which of the granted, in-force patents actually protect current revenue lines, which takes a maintenance-fee status check in full diligence. [R-07]

## 4 NEWS SIGNALS

Google News query on the company name returned one recent item — an investor-conference participation notice. No risk-keyword hits (lawsuit, probe, fraud, bankruptcy classes). A quiet news profile is itself information for a company this size: coverage risk is low, and so is public controversy. [R-05]

## 5 GOVERNMENT SALES CHECK

USAspending shows no federal prime contract awards to the company in the past three years [R-04]. This is consistent with a customer base of railroads and state or transit agencies, whose procurement sits outside the federal award database. For diligence, customer concentration must therefore come from the 10-K segment and customer disclosures rather than public procurement data — a stated boundary of this sample.

## 6 RISK MAP

| AXIS | ASSESSMENT (INTERPRETATION) | BASIS |
|---|---|---|
| ■**Financial — caution** | Net income volatility with probable one-offs in FY2024; cash of $4.3M | R-02 |
| ■**Operations — fair** | Margin recovery sustained across three years; revenue stable | R-02 |
| ■**Governance — caution** | Seven officer/director change filings in 24 months; Schedule 13D ownership episodes (2015, 2021, 2022) | R-03 |
| ■**Cross-border — caution** | US foreign-investment review applicability to be assessed by counsel before structuring | note |

## 7 DEAL CONSIDERATIONS FOR A KOREAN ACQUIRER (INTERPRETATION)

As an entry platform the logic is mix, not growth: a stable $540M revenue base in US rail infrastructure, with margins already moving in the right direction, would give a Korean rail-technology company distribution, certification track record, and a Pennsylvania manufacturing footprint that greenfield entry cannot buy quickly. The price of that logic is diligence discipline on three points — isolate the FY2024 one-offs before accepting any earnings-based valuation, resolve the funding plan against thin target cash, and secure management retention given the recent officer changes.

## 8 FOLLOW-UP ITEMS (PRE-DILIGENCE)

1. Decompose FY2024 net income of $42.9M — tax and non-operating items, from the FY2024 10-K [R-02 · R-03]
2. Pull and review the two officer-change 8-Ks (May 21 and July 30, 2026) [R-03]
3. Customer concentration from 10-K segment disclosures (public procurement data does not cover this company) [R-04]
4. Debt structure and maturities (liabilities shown here are derived as assets minus equity: ~$155M in FY2025)
5. Identify the 2021–2022 Schedule 13D filers and the current 5%+ holder register — their stance shapes any bid [R-03]
6. Change-of-control clauses in key customer, supply and executive contracts — a standard check that public data cannot cover
7. US foreign-investment review applicability — counsel assessment before structuring
8. In-force status of the granted US and Canadian patents behind current revenue lines (maintenance-fee check; publication data in section 3C does not show lapses) [R-07]

## 9 SCOPE AND LIMITATIONS

This is a **preliminary, public-data review** (red-flag format). Sources and periods: SEC EDGAR filings and XBRL company facts (FY2022–FY2025 10-K data; filing index through September 2026), USAspending federal awards (September 2023–September 2026), EPO Open Patent Services worldwide publication data (applicant search, September 2026), and a company-name news query at the data date. The report states material or unusual matters only; ordinary items appear in tables without comment (by exception).

Not covered here, and reserved for diligence: segment and customer disclosures inside the 10-K narrative, litigation dockets beyond news signals, property and lease terms, individual contract clauses, and any internal company information. The company was not contacted and no information was requested from it.

## A APPENDIX — SOURCES

| ID | SOURCE | CONTENT |
|---|---|---|
| R-01 | SEC EDGAR company profile, CIK 0000352825 | Company profile, listing, addresses |
| R-02 | SEC EDGAR XBRL company facts, CIK 0000352825 (10-K, FY2022–FY2025) | Financial statements data |
| R-03 | SEC EDGAR filing index (1,000+ filings; recent 8-K items as listed) | Filing timeline and event signals |
| R-04 | USAspending award search, 2023-09 to 2026-09 | Federal contracts: none found |
| R-05 | Google News, company-name search (Sept 6, 2026) | News signals: 1 item, 0 risk flags |
| R-06 | Exhibit 21 to the FY2025 10-K (filed 2026-03-05, accession 0000352825-26-000016) | Subsidiary list |
| R-07 | EPO Open Patent Services, applicant search "L.B. Foster" (Sept 8, 2026) | Patent portfolio: 65 publications, 65 families |